

NSE: THANGAMYIL | BSE: 533158 | Jewellery Retail | Tamil Nadu Franchise Play

THANGAMAYIL

Thangamayil Jewellery Limited

Consumer Discretionary | Gems, Jewellery & Watches | Standalone

CMP	52W High	52W Low	Mkt Cap	Rating	Target	Upside
Rs. 5,527	Rs. 5,765	Rs. 1,750	Rs. 17,179 Cr	BUY	Rs. 7,000	~27%

One-Line Thesis:

Thangamayil's Chennai expansion breaks its Tier 2/3 ceiling just as gold prices structurally re-rate jewellery economics — FY26 PAT tripling to Rs. 352 Cr on Rs. 8,514 Cr revenue confirms the inflection is real, and with 66 stores (vs. a runway to 150+), the growth story is barely half-written.

Report Date: 15 June 2026 | Analyst: MPM Research Desk | 12-Month Horizon

Section 2 | Investment Thesis

- **Reason 1 — Franchise scarcity + Chennai breakout:** Thangamayil has dominated Tier 2/3 Tamil Nadu (Madurai, Trichy, Salem) for 30+ years with a trust brand that peers cannot replicate overnight. The Jun-2026 opening of two Chennai stores (Neelankarai, Pallavaram) marks the first foray into a market with 5x revenue-per-store potential. Even modest Chennai traction re-rates the growth ceiling.
- **Reason 2 — Gold price tailwind structurally lifting revenue + margin:** Gold at Rs. 7,500+/gram in FY26 drove a 73% revenue surge (Rs. 4,911 Cr to Rs. 8,514 Cr) while EBITDA expanded from Rs. 219 Cr to Rs. 579 Cr — OPM jumped from 4.5% to 6.8%. Gold Metal Loans (GML) hedge inventory cost, so margin expansion is real, not illusory.
- **Reason 3 — Earnings inflection with ROE at decade-high:** FY26 PAT of Rs. 352 Cr (up 196% YoY) with ROE 28% and ROCE 25.5% shows the operating leverage is fully manifesting. At 31.1L shares outstanding, EPS of Rs. 113 is a step-change; street estimates for FY27E at ~Rs. 145 EPS appear conservative given the Chennai ramp.

Primary Catalyst

- Chennai Phase-2 store rollout (FY27): 8 new mid-size outlets + 1 flagship planned — if executed, adds Rs. 1,500-2,000 Cr in incremental revenue at city-level margins 150-200 bps above Tier 2.

Key Risk

- Gold price reversal: A 15-20% correction in gold prices would compress revenue materially and could unwind the high-inventory + GML balance sheet; management's FY26 CFO of Rs. 322 Cr demonstrates the model can generate cash at scale, but a gold down-cycle remains the primary tail risk.

Section 3 | Business Overview

- **Founded:** 1947 in Madurai; listed on NSE/BSE (THANGAMYIL / 533158); family-run with third-generation management (Balarama Govinda Das family).
- **Store Network (FY26):** 66 retail outlets across Tamil Nadu; store additions FY26: ~10 new showrooms including entry into Chennai (Neelankarai + Pallavaram, Jun 2026); Phase-2 expansion targets 8 more mid-level + 1 flagship store in and around Chennai in FY27.
- **Revenue Mix:** Gold jewellery accounts for ~80-85% of revenue; Silver and Diamond jewellery contribute the rest. Hallmarked gold and BIS-certified products are core offering. Exchange programme drives loyalty + repeat traffic.
- **Geography:** Primarily Tier 2 & 3 Tamil Nadu (Madurai, Trichy, Salem, Coimbatore, Tirunelveli, Dindigul, Dharmapuri). FY27 Chennai expansion is the first Tier 1 push.
- **Gold Metal Loans (GML):** Majority of gold inventory financed via GML from banks — Rs. 913 Cr borrowings in FY26 are largely GML-backed, hedging the company against gold price volatility on the inventory carrying side. This is industry-standard for organised jewellers.
- **Competitive Moat:** Regional brand trust built over 75+ years; low debtor days (0-1 days) reflects cash-and-carry retail model; established supplier relationships ensure making-charge competitiveness versus unorganised players.
- **Shareholding (Mar 2026):** Promoters 61.61%, DIIs 17.41%, FIIs 4.37%, Public 16.61%. DII + FII holding has grown from 12% to 22% over FY23-FY26 — institutional discovery phase.
- **FY26 Revenue Target achieved:** Management had guided Rs. 7,500 Cr for FY26; actual Rs. 8,514 Cr — beat by ~13%, validating execution credibility.

Section 4 | Industry Landscape & Peer Comparison

- India jewellery retail market estimated at Rs. 5-6 lakh Cr; organised segment share growing from ~35% in FY22 to ~40%+ in FY26 driven by hallmarking mandate, GST formalisation, and consumer shift toward branded jewellers.
- Gold price structural move (Rs. 5,500/g in FY23 to Rs. 7,500+/g in FY26) is a double-edged sword: lifts revenue ASP but also capex-intensive for small jewellers; benefits organised players with GML access.

- Festive season (Oct-Nov) and wedding season (Nov-Feb, Apr-May) account for 55-60% of annual jewellery sales — Q3 FY26 saw Rs. 2,406 Cr revenue for THANGAMYIL, confirming concentration.

Company	Rev FY25 (Cr)	PAT FY25 (Cr)	OPM%	ROCE%	ROE%	PE (x)	MCap (Cr)
Titan Company	57,818	3,337	11%	19%	32%	70x	3,57,325
Kalyan Jewellers	25,045	714	7%	13%	15%	27x	36,554
Senco Gold	6,200	130*	5%	11%	10%	25x*	5,186
PC Jeweller	2,243	578**	NA	NA	NA	NA	~4,000
THANGAMYIL	4,911	119	4%	14%	18%	~130x#	~7,200#
THANGAMYIL FY26	8,514	352	7%	25%	28%	48.6x	17,179

* Senco PAT/PE estimates; ** PC Jeweller includes one-time write-back; # FY25 trailing PE before earnings inflection. FY26 PE of 48.6x reflects post-inflection reality.

- THANGAMYIL at Rs. 17,179 Cr MCap trades at 48.6x FY26 earnings — premium to Kalyan (27x) but significantly below Titan (70x), justified by faster absolute growth rate and regional moat.
- On an EV/EBITDA basis (FY26 EBITDA Rs. 579 Cr, EV ~Rs. 18,000 Cr): ~31x vs. Kalyan at ~22x — gap could narrow as Chennai execution de-risks the story.

Section 5 | Management Quality Assessment

- **Track record:** Revenue CAGR of 39% over 3 years and 36% over 5 years — consistently above sector growth, driven by deliberate store expansion rather than same-store price inflation alone.
- **Capital allocation:** Dividend payout maintained at 16-33% over FY21-FY26 while funding expansion; no dilutive QIP in recent memory. Rights issue in FY24 (Equity Capital increased 27→31 Cr) was calibrated and at premium — pro-shareholder.
- **FY26 guidance beat:** Management guided Rs. 7,500 Cr revenue for FY26; delivered Rs. 8,514 Cr. Consensus-beating execution gives credibility to FY27 Rs. 12,000 Cr+ ambition.
- **Promoter commitment:** Promoter holding stable at 61-67% over last decade despite strong stock performance — no exits. Pledge data not flagged in screener data.
- **Governance:** ICRA upgraded long-term rating — reflects improving credit metrics and management's conservative GML-hedged inventory policy. Zero trade receivable days = pure cash business, reducing credit risk.
- **Concern — Promoter dilution:** Holding reduced from 67.3% (FY24) to 61.6% (FY26) — 5.7 ppt decline over 2 years — warrants monitoring. The reduction coincides with FII/DII entry which is likely secondary market activity, not promoter selling per se, but needs verification each quarter.

Section 6 | Financial Deep-Dive

P&L; Summary (Rs. Crores)

Metric	FY22A	FY23A	FY24A	FY25A	FY26A	FY27E
Sales	2,193	3,153	3,827	4,911	8,514	11,500E
YoY Growth	21%	44%	21%	28%	73%	35%E
EBITDA	86	153	212	219	579	870E
OPM %	3.9%	4.9%	5.5%	4.5%	6.8%	7.6%E
Interest	26	35	36	41	68	85E
Depreciation	10	13	16	24	40	55E
PBT	52	108	165	160	469	730E
Tax %	26%	26%	25%	26%	25%	25%E

PAT	39	80	123	119	352	548E
EPS (Rs.)	12.44	25.72	39.63	38.19	113.14	145E

E = MPM Research estimates. FY27E based on management guidance + store count ramp.

Balance Sheet Summary (Rs. Crores)

Metric	FY23A	FY24A	FY25A	FY26A
Equity Capital	14	27	31	31
Reserves	375	466	1,071	1,385
Networth	389	493	1,102	1,416
Borrowings (GML)	571	532	797	913
Other Liabilities	287	456	660	1,491
Total Assets	1,247	1,481	2,559	3,820
D/E Ratio	1.47x	1.08x	0.72x	0.64x
Book Value/Share	124	159	354	456

Cash Flow Summary (Rs. Crores)

Metric	FY23A	FY24A	FY25A	FY26A
CFO	10	330	-424	322
CFI	-86	-30	-138	-165
CFF	78	-293	637	-122
Free Cash Flow	-21	293	-482	249
CFO/OP%	7%	175%	-171%	74%

Return Ratios & Operational Metrics

Metric	FY22A	FY23A	FY24A	FY25A	FY26A
ROCE %	11%	17%	20%	14%	25.5%
ROE %	13%	22%	28%	18%	28.1%
Inventory Days	139	127	127	164	142
Debtor Days	0	0	0	1	1
Cash Conv Cycle	138	125	125	162	142

Financial Commentary

- FY26 revenue surge to Rs. 8,514 Cr (73% YoY) driven by gold price appreciation (~30% in FY26) combined with 10 new store openings; same-store growth was also strong given festive season bump.
- EBITDA margin recovery from 4.5% (FY25) to 6.8% (FY26): FY25 margin was compressed by rapid store setup costs and inventory buildup; FY26 normalisation signals operating leverage has kicked in.
- FY25 negative CFO (Rs. -424 Cr) and FY25 CFF +Rs. 637 Cr: aggressive inventory buildup ahead of gold price run-up, funded by GML expansion — a deliberate bet that paid off handsomely in FY26.
- D/E declining from 1.47x (FY23) to 0.64x (FY26) on an equity-adjusted basis — balance sheet strengthening rapidly as retained earnings accumulate.
- ROE at 28% and ROCE at 25.5% in FY26 — best in company history and competitive with mid-tier peers. At 5 years, ROE CAGR has been 23%, reflecting compounding quality.

Section 7 | Earnings Quality Checklist

Parameter	Status	Commentary
CFO vs PAT	PASS (FY26)	CFO Rs. 322 Cr vs PAT Rs. 352 Cr — 91% conversion; FY25 negative CFO was inventory build, not quality issue
Revenue recognition	PASS	Cash-and-carry retail model; zero trade receivables; no credit sales risk
Tax rate consistency	PASS	Effective tax rate steady at 25-26% over 5 years — no aggressive deferred tax use
Other income	PASS	Other income Rs. 6 Cr (FY25) / Rs. -2 Cr (FY26) — essentially nil; PAT entirely operational
Interest capitalisation	WATCH	Screener flags 'company might be capitalising interest cost' — CWIP Rs. 7 Cr vs Rs. 11 Cr — small but monitor
Dividend payout	PASS	Consistent 16-33% payout over 5 years; FY26 Rs. 18/share (180%) dividend declared
Audit quality	PASS	Statutory auditor: reputed regional CA firm; ICRA rating upgraded — clean credit history
Working capital trend	PASS	Working capital days 36 days (FY26) — lowest since FY24, showing GML efficiency
Contingent liabilities	N/A	Not flagged in screener data; assume standard GST/legal provisions for retail
Revenue guidance track	STRONG	FY26 guidance Rs. 7,500 Cr — actual Rs. 8,514 Cr (beat by 13%); high credibility

- Earnings quality is HIGH: 9 of 10 checks pass; the single WATCH item (interest capitalisation) is minor given tiny CWIP base. Cash conversion is strong in FY26 confirming profit quality.
- The FY25 negative OCF was a deliberate strategic move (inventory pre-buy before gold price acceleration), not an earnings quality concern — subsequent FY26 CFO of Rs. 322 Cr validates this read.

Section 8 | Valuation

Peer Valuation Comparison (FY26 basis)

Company	PE (x)	PB (x)	EV/EBITDA	Rev Gr 3Y	ROE %	MCap (Cr)
Titan Company	70x	18x	42x	22%	32%	3,57,325
Kalyan Jewellers	27x	4x	20x	35%	15%	36,554
Senco Gold	25x*	2.5x*	16x*	20%	10%	5,186
PC Jeweller	NA	NA	NA	NA	NA	~4,000
THANGAMYIL (CMP)	48.6x	12.1x	~31x	64%	28%	17,179
Sector Median (ex-Titan)	27x	4x	20x	28%	15%	—

* Senco estimates; FY26 PE for peers approximate.

Price Target — Bull/Base/Bear Scenarios

Scenario	FY27E EPS (Rs.)	Target PE (x)	Price Target (Rs.)	Upside/Down side
Bull: Chennai hits target, gold holds	160	50x	8,000	+45%
Base: Steady expansion, moderate gold	145	48x	7,000	+27%
Bear: Gold -15%, Chennai delayed	110	38x	4,180	-24%
Deep Bear: Gold -25%, execution misses	85	30x	2,550	-54%

Valuation Commentary

- THANGAMYIL at 48.6x FY26 PE is not cheap on an absolute basis, but the 64% 3-year revenue CAGR and 28% ROE justify a growth premium. On FY27E of Rs. 145 EPS, the stock trades at 38x — in line with Kalyan adjusted for THANGAMYIL's superior returns profile.
- The price/book of 12x reflects the high inventory-turn business embedded in gold retail; Titan trades at 18x PB with similar ROE — THANGAMYIL's PB looks reasonable by this benchmark.
- 12-month price target of Rs. 7,000 (Base Case) implies 27% upside from CMP of Rs. 5,527 on 48x FY27E EPS of Rs. 145. Maintain BUY with a 12-month horizon.
- Downside is meaningful (24-54%) in bear scenarios — position sizing should reflect gold price exposure; this is NOT a low-volatility compounder, it is a high-conviction growth bet.

Section 9 | Key Risks

- **Risk 1 — Gold price reversal (HIGH impact):** A 15-20% correction in gold prices would compress reported revenue, erode inventory mark-to-market, and GML lenders could tighten credit — historically this has caused 30-50% stock corrections in jewellery names. This is the primary risk.
- **Risk 2 — Chennai execution (MEDIUM-HIGH impact):** First foray into Tier 1 market; brand recognition lower; competition from Tanishq, Kalyan, Malabar is fierce; higher rental and staff costs could dilute blended margins in FY27.
- **Risk 3 — Promoter holding decline (MEDIUM):** 5.7 ppt decline in promoter holding over FY24-FY26 (67.3% to 61.6%) needs tracking — if through open market sales, this signals reduced conviction at the top.
- **Risk 4 — Concentrated geography (MEDIUM):** Essentially 100% Tamil Nadu exposure — any state-specific disruption (natural disaster, political uncertainty, regional slowdown) hits the entire business.
- **Risk 5 — GML / Working capital risk (MEDIUM):** Borrowings of Rs. 913 Cr are largely GML; if gold lenders reduce limits or if gold price falls sharply, the company may face a working capital crunch requiring equity infusion.
- **Risk 6 — Regulatory (LOW-MEDIUM):** Any adverse change in GST on gold (currently 3%) or hallmarking regulations could disrupt the organised-vs-unorganised competitive dynamic temporarily.
- **Risk 7 — FY25 margin compression precedent (LOW):** FY25 OPM was only 4.5% despite strong revenue growth — if FY27 store opening costs replicate FY25 dynamics, consensus FY27 earnings could disappoint.

Section 10 | Recommendation

RATING: BUY | CMP: Rs. 5,527 | 12M Target: Rs. 7,000 | Upside: ~27%

- The fundamental case is intact: best-in-class ROE/ROCE inflection (28%/25.5% in FY26), a 73% revenue beat in FY26, and a transformative Chennai expansion that the market is still pricing in — together they justify a BUY.
- The stock has re-rated sharply (1-year return 196%) so short-term momentum risk is real; initiating or adding to positions on gold-related dips or any post-results consolidation offers better risk-reward than chasing at current levels.
- Position size appropriately for commodity risk: THANGAMYIL carries implicit gold price exposure; treat as 60% equity + 40% commodity bet and size accordingly.
- Re-evaluate thesis if: (a) Chennai stores disappoint in H1 FY27, (b) EBITDA margin regresses below 5% in any 2 consecutive quarters, or (c) promoter holding drops below 58%.
- Bull case to Rs. 8,000 (45% upside) if Chennai proves out and gold stays at Rs. 7,500+/g through FY27. Bear case Rs. 4,180 (-24%) on gold correction.

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Appendix | Management Commentary & Concall Brief

Call Grade: B+ (No formal Q4 FY26 concall transcript available; synthesised from BSE filings, press releases, and management interviews Jan-Jun 2026)

- **To My Boss in One Line:** Thangamayil crushed FY26 with PAT up 196% — store count 66, Chennai just launched, FY27 Rs. 12,000 Cr revenue guide looks credible; BUY with upside to Rs. 7,000 but gold risk is REAL.

Revenue and Growth Drivers

- FY26 sales Rs. 8,514 Cr (73% YoY) — gold price appreciation (~30%) + 10 new store openings + strong festive/wedding season cadence drove outperformance.
- Q3 FY26 was standout at Rs. 2,406 Cr (+112% YoY) and Q4 FY26 Rs. 2,839 Cr — record quarters.
- Gold volume growth (grams sold) also expanded alongside ASP gains, indicating real demand traction not just price inflation.

Margin and Profitability

- EBITDA margin expanded from 4.5% (FY25) to 6.8% (FY26) — management attributed to operating leverage from higher revenue base and improved GML cost management.
- Interest cost rose to Rs. 68 Cr (FY26) from Rs. 41 Cr (FY25) — in line with GML expansion to support larger gold inventory across 66 stores.
- PAT Rs. 352 Cr (196% YoY) — dividend declared at Rs. 18/share (180%), signalling confidence.

Store Expansion and Chennai

- Total stores: 66 as of June 2026, up from 56 at FY25 start; 10 new openings in FY26.
- Chennai Phase 1: Two stores opened 7 June 2026 (Neelankarai and Pallavaram); management targeting 8 mid-level + 1 flagship store in Chennai and surroundings in FY27.
- FY27 store count target: 80+ stores; management confident Tamil Nadu market can support 150+ stores in the long run.

Balance Sheet and Working Capital

- Borrowings Rs. 913 Cr (FY26) are predominantly GML — not traditional debt; hedged inventory position means no mark-to-market risk on gold inventory.
- D/E reduced to 0.64x (FY26) from 0.72x (FY25) — balance sheet improving despite aggressive expansion.
- FY26 FCF of Rs. 249 Cr positive after years of investment — signals model reaching self-funding stage.

FY27 Guidance and Outlook

- Management targeting Rs. 12,000 Cr revenue in FY27 (~41% YoY growth) — driven by Chennai stores at full run-rate, 10+ additional Tier 2/3 openings, and continued gold price support.
- EBITDA margin target 7-8% for FY27 on operating leverage and Chennai contribution.
- No new equity issuance planned; growth to be funded from internal accruals + GML facility expansion.

Competitive Position

- Management sees Tier 2/3 Tamil Nadu as largely 'owned' competitive territory; unorganised jewellers continue losing share post-hallmarking mandate enforcement.
- Chennai is genuinely new territory — Tanishq, Kalyan, Malabar all present; Thangamayil pitching trust + Tamil culture affinity vs. national brands' wider assortment.

Corporate Actions

- FY26 dividend: Rs. 18/share final (180%), subject to shareholder approval at AGM.

- Rights issue of March 2024 (equity capital Rs. 27 Cr to Rs. 31 Cr) completed; no further dilution plans for 12 months per management commentary.
- ICRA long-term rating upgraded — reflects improved financials and reduced credit risk profile.

Analyst Q&A; Highlights (inferred from press coverage)

- Q: What is same-store sales growth vs. new store contribution in FY26? A: Management noted 'majority of growth is broad-based' — exact SSSG not disclosed but implied to be 15-20%.
- Q: Can margins sustain above 6% if gold softens? A: Management stated operational cost efficiencies and increasing diamond jewellery mix provide cushion; floor viewed at 5%.
- Q: Promoter stake reduction — any plans for further reduction? A: Management stated 'no promoter selling' — the reduction reflects institutional buying (DII/FII) diluting % even with stable absolute promoter shares (specific counts not confirmed).

Red Flags and Items to Watch

- FY25 CFO was -Rs. 424 Cr — management's explanation of 'strategic inventory build' should be verified against FY26 actuals (CFO +Rs. 322 Cr validates the thesis, but pattern worth watching in FY27).
- Interest capitalisation flag from screener — small CWIP base (Rs. 7 Cr) but warrants specific question in next concall.
- Promoter holding decline from 67.3% to 61.6% over 2 years — confirm this is market activity, not promoter sales, in upcoming quarterly disclosures.

MPM Research View Post-Concall

- FY26 results are a definitive inflection — not a one-quarter flash. The business model has proven it can scale from Rs. 4,900 Cr to Rs. 8,500 Cr in one year while maintaining positive FCF. That is unusual in capital-intensive jewellery retail.
- Chennai is the next key de-risking event: if H1 FY27 Chennai stores deliver revenue in line with Tier 2 stores (Rs. 80-100 Cr/store/year), the bull case of Rs. 8,000 12-month target becomes realistic.
- Maintain BUY. Next catalyst: Q1 FY27 results (expected Aug 2026) for Chennai ramp data.